Critical accounting judgements, estimates and assumptions

Intangibles

On the acquisition of Gumstix Inc, the identifiable intangible assets include intellectual property. The fair value of these assets is determined by historical cost method on salary and expenses related to the input in developing the intellectual property.

Useful life for intangibles

The useful life used to amortise intangible assets relates to the expected future performance of the assets acquired and management's estimate of the period over which economic benefit will be derived from the asset. The basis for determining the useful life for the most significant categories of intangible assets is as follows:

Intellectual property

The useful life is determined by management at the time the intellectual property is acquired and brought into use and is regularly reviewed for appropriateness. For intellectual property, the useful life represents management's view of the expected term over which the Group will receive benefits from the intellectual property. The life is based on historical experience with similar products as well as anticipation of future events which may impact their life such as changes in technology. Historically changes in useful lives have not resulted in material changes to the Group's amortisation charge.

Customer Relationships

The estimated useful life principally reflects management's view of the average economic life of the customer base and is assessed by reference to customer churn rates. An increase in churn rates may lead to a reduction in the estimated useful life and an increase in the amortisation charge. Historically changes to the estimated useful lives have not had a significant impact on the Group's results and financial position.

Software intangibles

The useful life is determined by management's view of the expected future performance of the assets and its relationship to the existing software license and subscription period purchased. Historically changes to the estimated useful lives have not had a significant impact on the group's results and financial position.

Note 11. Non-current assets - deferred tax assets

	Consolidated	
	2019 US$000	2018 US$000
Deferred tax asset comprises temporary differences attributable to:		
Amounts recognised in profit or loss:		
Tax losses	2,068	688
Property, plant and equipment	(176)	58
Employee benefits	608	235
Employee entitlements	714	-
Intellectual property	79,260	79,011
Revenue received in advance	633	1,019
Provisions	1,054	328
Foreign currency translation	613	534
Tax credits	17	-
Deferred rent	82	163
	84,873	**82,036**
Amounts recognised in equity:		
Transaction costs on share issue	-	84
Deferred tax asset	**84,873**	**82,120**
Amount expected to be recovered within 12 months	26,588	26,995
Amount expected to be recovered after more than 12 months	58,285	55,125
Movements:		
Opening balance	82,120	82,946
Credited/(charged) to profit or loss (note 5)	2,440	(933)
Additions through business combinations (note 28)	314	105
Translation differences	(1)	2
Closing balance	**84,873**	**82,120**

Critical accounting judgements, estimates and assumptions

Deferred tax assets are recognised for deductible temporary differences only if the Group considers it is probable that future taxable amounts will be available to utilise those temporary differences and losses. Calculation of future taxable amounts involve the use of assumptions and management judgments.

A deferred tax asset can only be recorded for the portion of a potential benefit where utilisation is considered probable. The assessment of future taxable amounts involves the use of assumptions and management judgments. The Group has fully recognised a deferred tax asset of $79.3m in relation to assets previously transferred to USA. It is considered probable that there will be future taxable income in the USA to fully realise these temporary differences.

Note 12. Current liabilities - trade and other payables

	Consolidated	
	2019 US$'000	2018 US$'000
Trade payables	3,492	2,016
Deferred consideration	888	643
Other payables	11,898	9,488
	16,278	**12,147**

Accounting policy for trade and other payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

Deferred consideration

The payable represents the obligation to pay consideration following the acquisition of a business or assets and is deferred based on passage of time. It is measured at the present value of the estimated liability.

Note 13. Current liabilities - provisions

	Consolidated	
	2019 US$'000	2018 US$'000
Employee benefits	2,109	1,711
Contingent consideration	-	5,073
	2,109	**6,784**

Contingent consideration

The provision represents the obligation to pay contingent consideration following the acquisition of a business or assets. It is measured at the present value of the estimated liability.